Wakefit Innovations (WAKEFIT)

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Call: Feb 2026

Date: February 17, 2026

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400001,
Maharashtra, India

BSE Scrip Code: 544642

Dear Sir/ Madam,

National Stock Exchange of India Limited,
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

NSE Scrip Symbol: WAKEFIT
Subject: Transcript of the earnings conference call held on February 11, 2026

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of transcript of the earnings conference call held on Wednesday, February 11, 2026, at 09:00 a.m. (IST) to discuss the unaudited financial results of the Company for the quarter and nine months ended December 31, 2025.

The said transcript is also available on the Company's website at www.wakefit.co/investor-relations .

You are requested to kindly take the same on record.

Thanking you.

Yours faithfully,
For Wakefit Innovations Limited
(formerly known as Wakefit Innovations Private Limited)

Surbhi Sharma
Company Secretary and Compliance Officer
Membership Number: A57349

Encl: As above

Wakefit Innovations Limited
Q3 FY ’26 Conference Call
February 11, 2026
E&OE - This transcript has been edited for grammatical and other transcribing errors. In case of discrepancies, the audio recordings uploaded on the stock exchange on 11th February 2026 will prevail.

MANAGEMENT : MR. ANKIT GARG – CHAIRMAN , CHIEF EXECUTIVE OFFICER AND EXECUTIVE DIRECTOR – WAKEFIT INNOVATIONS LIMITED
MR. CHAITANYA RAMALINGEGOWDA – EXECUTIVE DIRECTOR – WAKEFIT INNOVATIONS LIMITED

MS. PARUL GUPTA – CHIEF FINANCIAL OFFICER –
WAKEFIT INNOVATIONS LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Wakefit Q3 FY '26 Conference Call hosted by IIFL Capital. Before we begin, a brief disclaimer. This conference call may contain forward - looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantee of future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Percy Panthaki from IIFL Capital for the opening remarks. Thank you, and over to you, sir.

Percy Panthaki: Hi. Good morning, everyone. It is my pleasure to host the maiden results call for Wakefit. With me from the management, we have Mr. Ankit Garg, Chairman, CEO and Executive Director; Mr. Chaitanya Ramalingegowda, Executive Director; and Ms. Parul Gupta, CFO . I'll hand over the call to the management for their initial comments, and then we will open up for Q&A. Over to you.

Ankit Garg: Hi, this is Ankit. Thank you so much for the introduction. Good morning, everybody. A warm welcome to all of you, and thanks for joining our first earnings call after listening. On this call, we are joined by Chaitanya Ramalingegowda, who is an Executive D irector here; and Parul Gupta, CFO; and Strategic Growth Advisors, our Investor Relations Advisors too.

The results and the presentations are uploaded on the stock exchange and company websites. I hope everybody has had a chance to look at them. Firstly, I would like to take this opportunity to thank all the shareholders for their faith in us. We welcome ou r new shareholders and thank every stakeholder of the company, that is employees, customers, business partners, bankers, lawyers who made our IP listing successful. So thank you very much.

During the quarter, the company has shown solid performance across all metrics. Our revenue registered a Y -o-Y growth of 9.4% at INR4,213 million and reported EBITDA almost doubled to INR592 million due to operating leverages kicking in.

In including the improved capacity utilization, particularly at our furniture facility, our operating EBITDA, which represents EBITDA before Ind AS lease adjustments, ESOP charges and onetime costs stood at INR416 million with 9.9% margin. This performanc e was delivered

despite Diwali -related demand advancing to September 2025 compared to October 2024. Y -o-Y sales growth for the last 4 months of the calendar year, that is September to December '25 period stood at 14%.

The new GST reforms covered a lot of discretionary product categories. However, our major product categories remained unchanged at 18%. This led to shifts in consumer wallet towards other categories, which benefited due to this change. However, we believe that it was a temporary shift and the demand is coming back to normalcy. So far, the quarter is shaping up strong than Q3 across key operating metrics.

Since this is our first earnings call, I would like to take a step back to establish who we are, what we do and also give you a bird's eye view of our industry. Wakefit began in 2016 as a sleep solutions player. After achieving strong traction in our matt ress business, we saw that pain points which we wish to solve for in the mattress market also existed in the furniture market. What made this even more interesting is that the market is much bigger as com

pared to that of our mattresses and we had an opportunity to tap our existing customer base via channels. Today, we have evolved into a one -stop destination, offering home and fu rnishing solutions to meet customers' evolving needs with products tailored to cater to the mass, masstige and the premium segments.

From day one, we embraced a direct -to-consumer ethos, D2C, with vertical integration, online distribution and deep customer feedback. Wakefit operates across three core product categories: mattresses, which are predominant contributor to our revenue at ab out 61.3% for the first 9 months of the fiscal. Furniture category that includes beds, sofa, wardrobes, dining tables, chairs, seating, this contributed about 29% of our revenues for the first 9 months. The growth rate of this category was 27.5% on a year -on-year basis. The growth is much faster, albeit on a smaller base.

Our third category is furnishings category, where we offer pillows, cushions, towels, mats, rugs, carpets, comforters, runners, curtains, etcetera. This contributed about 9.7% of our total revenue in 9 months of the first fiscal. Wakefit today represents well under 1% of combined mattress furniture and home accessories market. Our growth will come from gaining market share through a superior value execution and customer experience, and there's a big headroom for this. Interestingly, the furniture market is nearly 10x the size of the mattress market.

Given this, we expect our revenue mix to evolve meaningfully over the next few years, resulting in a more balanced business mix. We invested early in what we call the pillars, which essentially represent a full -stack vertically -integrated model that repre sent -- that reflects our cohesive business approach, maintaining control over every stage of the product life cycle.

Our strength lies in our research and development -driven product designs and our commitment to continuously enhancing products based on customer feedback. Our integrated approach spans the entire value chain, encompassing supply chain management as well a s distribution. Currently, we operate five manufacturing facilities.

Our highly automated quality -driven operations supported by advanced imported machinery enable consistent output, scalability and a lean just -in-time inventory model. Our automated processes enable us to operate our furniture business on a catalog basis, where production begins only after confirmed orders. This limits inventory buildup, reduces working capital requirements and improves cash flow visibility.

Our logistics infrastructure comprises of a central mother warehouse, supported by multiple inventory holding points and delivery points, which enable efficient and cost -effective logistics. On the back of our highly automated operations, we run our busin ess with very low inventory and just -in-time operations.

We focus on environmental, social and governance principles, which are integral to our business operations. We are committed to promoting a circular economy by repurposing waste materials such as sawdust into fuel briquettes and foam scrapping, the reboun ded foam. Before I hand over, I would like to share that our Board has approved the appointment of Ms. Parul Gupta as CFO. She has been a part of our company from August 2025.

With her strong track record, she is well positioned to meaningfully contribute to our growth journey and further strengthen our financial stewardship. Ms. Parul Gupta will be replacing our prior CFO, Mr. Navesh Gupta, who resigned from the company due to his personal and professional plans with last working day as 31st December 2025. Appropriate disclosures pertaining to his resignation as CFO were made in the Red Herring prospectus and the prospectus filed at the time of IPO.

We welcome her on our team. We are proud to be building one of

the India's largest furniture manufacturing ecosystems and serve the growing domestic demand for our products. A strong platform play under a single brand enables us to cross -sell complementar y products and upsell higher -end products. Now with this, I would hand over to Chaitanya Ramalingegowda, Executive Director, to explain more.

C. Ramalingegowda: Thank you, Ankit, for the introduction, and good morning, everyone. Building on what Ankit spoke, let me give some more color on a few aspects which differentiate our business. While our roots are digital, we entered offline retail to foster a deeper custo mer connection. We opened our first company -owned company -operated store in 2022 in Gomti Nagar, Lucknow. Around the same time, we also commenced our multi -brand operations, which means MBO stores.

As of December 2025 end, we had 137 active company -owned company -operated stores across 76 cities and nearly 1,700 MBOs across 453 cities. Today, we sell our products through a comprehensive omnichannel strategy that enables us to reach customers in more than 700 districts across 28 states and 6 union territories.

The omnichannel facet is part of both our own and external sales channels. Our own channels comprise our website and our company -owned company -operated stores, together, which contributed nearly 64.7% of our 9 -month sales. While external channels comprise various marketplaces such as major e -commerce platforms, quick commerce platforms and MBOs, they contributed the rest of the amount.

With our omnichannel network, we ensure that customers have multiple touch points to discover, research and engage with our brand, ultimately supporting our long -term growth and profitability. More importantly, our own channels provide us control over the products and the complete customer experience.

And they also enable us to increase brand loyalty through CRM programs, repeat purchases, cross -selling, increase in average order value and overall lifetime value of the customers through insights into consumer behavior and direct feedback every single d ay from them. The continued growth in the sale of our products from our own channels is a pivotal factor influencing our efficiencies as our channels typically command higher margins due to the elimination of third - party costs. With healthy unit economics of our company -owned company -operated stores, the portion of the IPO proceeds is allocated towards accelerating store expansion in high -potential markets.

In select geographical areas, we intend to continue opening more COCO stores of various sizes tailored to specific catchment area requirements and specific product categories on display, whether it is a combination of mattress furniture and furnishing pro ducts. We are also making strides to open stores in a way that will help us to tap into smaller cities and towns and underserved pockets of India.

We focus on maximizing customer LTV, lifetime value through omnichannel presence, and this is shown resulting in a 35% repeat customer ratio and strong customer ratings across major e - commerce platforms. While profitability has been a cornerstone of our c omplete existence over 10 years, since the beginning, in the last few years, we are also focusing on investments in capabilities such as manufacturing, channel expansion and infrastructure and supply chain. A key milestone during this fiscal year has been our return to profitability.

As we see Wakefit becoming a comprehensive destination for home where multiple categories reinforce each other's growth and create a flywheel, we aim to focus more on brand building and sweating our existing assets better to bring out higher operating lev erage in the coming years.

On a near -term basis, based on the prevailing market e

nvironment, we expect to close the year with mid - to high -teen growth -- revenue growth with continued improvement in operating EBITDA margin. I now invite Parul to walk you through our financial perfor mance.

Parul Gupta: Thank you, Chaitanya. Good morning, everyone. So let me give a very quick background in terms of how the financial performance during Q3 FY '26 has gone. Our revenue from operations rose by 9.4% to INR4,213 million. We delivered our highest -ever quarterly revenue.

We achieved this performance despite a shift in festive demand. Notwithstanding this, Y -o-Y demand across last 4 months of the calendar year has improved by 14%. As mentioned earlier, the Q4 trends remain positive. The GP margin for Q3 FY '26 was impacted due to seasonal offers and discounts, although it showed a 230 bps improvement compared to the last quarter of -- the quarter of the last year, which is Q3 FY '25. For the quarter, reported EBITDA, excluding non - operating income stood at INR591.8 million, reflecting a margin of 14%, which is up by 196%

Y-o-Y.
Given our rental -heavy cost structure, we also track operating EBITDA as per IGAAP, and we have provided a complete detailed walk around the EBITDA for the quarter and 9 months ending December 2025 for your reference on the Slide 10, which is uploaded on the website. Operating EBITDA for the quarter stood at INR416.4 million, which -- at a margin of 9.9%, while the last year same quarter stood at INR79.7 million at 2.1% margin.
PAT for the quarter totaled INR319 million, resulting in a PAT margin of 7.6%, which includes onetime impact of the -- on account of the changes in the Labour Code and IPO -related expenses amounting to INR39.3 million and INR10.1 million, respectively, fo r the quarter. Now coming to the 9 months financial year 2026 performance. The revenue from operation is at INR11,453 million, resulting -- translating to a Y -o-Y growth of 17.9%.
Reported EBITDA stands at INR1,454 million with a Y -o-Y growth of 174% with a margin at 12.7%. Operating EBITDA for the same period of 9 months stood at INR933 million, which is 8.1% of the revenue and while versus the 2.2% in the last year of the 9 month s of FY '25. PAT reported at INR674 million at 5.9% margin. Including IPO proceeds as of December 31, 2025, the company has investable cash of around INR8,892 million. So this is broadly in terms of how our performance has gone by.
Looking into some of the factors which are coming in and broader guidance in terms of how our financial year 2026 will go by, we anticipate that our total ESOP expenses for the FY '26 will be around INR50 million and the next year will be around INR120 mi llion. Lease component in the depreciation and amortization for this particular financial year is expected to close at INR665 million.

In the recent past, we have seen some competitive intensity in the category. And hence, we expect that in the medium term, we anticipate some ramp -up in our brand building efforts with the advertisement and promotion, which may be expected to be around th at 8% to 9% of the sales as per our historical trends. With this, I open the floor for Q&A. Over to you.
Moderator: Thank you maam. Our first question comes from the line of Siddhartha Bera from Nomura Holdings. Please go ahead.
Siddhartha Bera: Congrats on a good set of numbers. Sir, first question is on the revenue side, how should we look at the same -store sales growth for you, whatever it is like quarter 3 or 4 months, whichever you think is more representative, first on that? And also, segmen t-wise, how will it be? Probably it will be slightly lower in the mattress and stronger in the furniture is what I would assume. So some trends there?
And given that we are now sort of looking at entering another year, so how do you see some of these trends playing out? Do you exp

ect any acceleration given your ambitions of market share gain? Or how should we think about some of the industry -wide and yo ur trends probably for mattress and furniture, if you can spell out separately for the next year as well?
C. Ramalingegowda: Sure. On the SSSG side of it, we are in the -- are greater than 20% in terms of average currently. Different stores at different maturity are contributing at different levels. However, the average is definitely above 20% for the stores that have completed at least 1 year. This is not a number that has come just now.
This has been hovering in the same range consistently and some stores going up even more after maturing over 18 to 24 months. Coming to segment -wise growth rates, we have been growing mattress in the mid -teen levels and furniture at -- on the early 20s pe rcentage levels in the past. And we foresee that the demand is back to those levels in the Q4 of FY '26 despite the aberration of Q3 because of the timing issues that Parul outlined.
So demand definitely is back, at least 200 to 250 bps higher than what we saw in Q3 as per the trends that we have seen from January 1 till now in fourth quarter. In terms of growth rates for the future, we see this holding at least in the mid -teens level at a company level across the three categories, while furniture, given the smaller base effect, will continue to be growing at a higher growth rate than mattresses in early to mid -20s.
Siddhartha Bera: Got it, sir. This SSSG of more than 20%, this is for quarter 3, you mentioned, of more than 20% or if you can just clarify the time lines?
C. Ramalingegowda: That is correct. I mean that is the -- even if you look at the 9 months average, it is in the same range. And if you look at the Q3, it is a little bit more healthy because offline transactions were very healthy during the festive period, but it is consist ently above 20%.

Siddhartha Bera: Got it. And some color on the segment -wise profitability as well. At an operating level, you mentioned we touched close to 10% operating EBITDA margins. How should we look at the segment -wise margins? And going ahead, where do you see more levers in terms of improvement? And any guidance if you have for the next few years?
C. Ramalingegowda: Sure. While we don't disclose the margin profiles by category, mattress continues to be very, very profitable, the most profitable of the three categories that we have. And margin profile will continue to improve, but incrementally. Furniture is where we b elieve there is a lot of leverage pending and juice to be extracted from the complete value chain from research and development optimization, as our catalogue completion comes to a good stage. Manufacturing efficiency as the same factory assets churn out more number of quantity every single day as the demand goes up. And number three, utilization of our middle -mile trucks from the mother warehouse to the inventory holding points as the demand goes up steadily.
So given all of these three things, most of the nonlinear growth improvement in margin will come from the furniture category in the coming years. And these two trends are not going to change drastically, mattress steadily half a percentage point, one percentage point a y ear, while furniture generating a lot more of the contribution to company -level margin improvement.
Siddhartha Bera: Understood, sir. Last question is on the store additions. If you can give some color when does the mega store come on stream? And how much store additions are we looking to add next year across both small format and regular format?
C. Ramalingegowda: Sure. I think if I have to stick to the analogy of the terminology used in DRHP and RHP, our COCO regular stores that are currently there, which are anywhere between 600 square feet to about 5,000 square feet, that is where most

of the quantity addition wi ll come over the next year or so. We plan to continue to open a steady number of stores every single quarter. We're happy to provide a little bit more color to that in the next call. But currently, we are at about 137 active stores compa red to 125 active stores at the end of September 2025.
Approximately 11 stores or so have been added net. In terms of the forward -looking, this number is going to be definitely higher than this number, maybe to the extent of 50% higher store opening than what we have delivered in this quarter starting from th e next fiscal, which is starting on April 1.
Moderator: The next question comes from the line of Ritesh Shah from Investec India.
Ritesh Shah: First, congratulations to the team for the IPO. A few questions. First one is probably for Parul. I think, ma'am, you indicated 8% to 9% for A&P. Just want to understand what all variables does it include and exclude? That's the first one. Secondly, you al so indicated around INR66 crores

towards depre and amortization. That number is for FY '26. Could you give us some headline numbers for '27 and '28? Those are the first two questions for you, please.
Parul Gupta: Thanks, Ritesh, for the question. So Ritesh, in terms of the A&P, this includes all kind of marketing and advertisement what we do, offline, online, digital. So those -- everything is included as part of it, which is in the same line in which we have repor ted the numbers in the financial as well as in the RHP. And that is what we are looking into the medium term, not immediate. So that's one point.
The second question in terms of the -- your -- guidance in terms of the lease component. As we are in the process of evaluating the store count and everything, these numbers may undergo a bit of a change. So it is not possible for us to comment on the exa ct number on this, but it will be in the similar trend. The increase is going to be in a similar trend as it is how the store increase has happened over the years and the lease component has happened.
Ritesh Shah: Okay. If I can just have a follow -up over here. Ma'am, if we have to understand the element of CAC, would it fall under A&P? Or is it a separate line item that one should look at?
C. Ramalingegowda: Customer acquisition cost in our industry, given that we are a multichannel company, it is very hard to calculate, primarily because even when you're a purely online company, you can at least come to some degree of approximation because the same identity o r Google ID in the back end,

Google or Facebook will provide us some kind of unique identifiers to come to a proxy.
There also, there are gaps such as people browsing on one device and purchasing on another device, but at least you get to a fair degree of confirmation. But given that we have two, three channels such as e -commerce marketplaces, which do not provide consu mer data; quick commerce, which do not provide consumer data; MBOs, where, again, we don't get any data and online and offline, where consumers may browse with different IDs and devices and browsers and purchase in our store or somewhere else.
We do not track CAC. The proxy -- two strong proxies that we use to keep the cost under control is advertising and promotion, which is the marketing cost as a percentage of net revenue. And secondly, the repeat rate that has to be healthy, which means cus tomers are coming back for more purchases. So unfortunately, we don't have a clean way to calculate CAC.
Ritesh Shah: So this is a variable, CAC could be beyond A&P. If I have to conclude, would that be a fair assessment?
C. Ramalingegowda: You're absolutely...
Ritesh Shah: It could be in one of the -- sure, sure.

C. Ramalingegowda: It's not like -- what I'm tryi

ng to say is store, retail expenses can also be CAC. And hence, you can consider some portion of the incentives, et cetera, will go there.
Ritesh Shah: Sure. And Parul, just a follow -up. I think we -- as part of primary issuance, we had indicated a number of INR161 crores. This was towards lease, sublease rent and license fee payments. This would be spread over how many years, if you could help on that, g iven you indicated we are in process for '27 and '28 corresponding to INR66 crores?
Parul Gupta: Ritesh, can you help me, and just can you please repeat the question? I couldn't get the numbers that you mentioned.
Ritesh Shah: Yes. Ma'am, as part of primary issuance of INR377 crores, INR161 crores was earmarked towards expenditure of lease, sublease, rent. So I just wanted to get a sense of this is spread over how many years?
Parul Gupta: Yes. This is spread over 3 years.
Ritesh Shah: This is spread over -- cool. I'll just move to the third question. Broader numbers on spread of revenues, South and non -South, that's one. Tier 1 versus ex Tier 1, if you can help us with that, that would be great. Third is basically the revenue mix when w e say COCO and incrementally, we have spoken about MBO, how do you see the revenue pie between COCO and MBO? So three questions over here. And I have a last bucket. If you permit, I'll go to the last bucket then?
C. Ramalingegowda: Sure, Ritesh. The South versus non -South, Tier 1 versus Tier 2, all of them vary differently by categories. For mattress, which is the oldest category, and we are present largely online pretty much everywhere across India. In such that category, South is s till significant, maybe contributing more than 50% and the North contributing the rest. Our strong suit is the bottom five states in the Southern Peninsula of India.
But in furniture, it has no South versus North split. It has much more of a Tier 1 versus metro split because by definition, furniture is not present pan -India. It is only present in the cities where we have stores. So furniture is very, very concentrated in the x number of cities that we are currently present in with our store presence and mattress is present pan -India. So that is how the split is.
In terms of roughly metro, Tier 1 versus Tier 2, mattress has a more even distribution given the reasons that I told you, which means less than 35%, 40% would probably be in these metro and Tier 1 for mattress and the rest is spread across the country. Wh ile in furniture, large part, lion's share of all furniture revenue will come from only metro and Tier 1 where our stores are present.
In terms of COCO and MBO, MBOs are a very small presence. They are our strategic partners. They're important to our growt h.

But if you look at it at a company level, this would be in low single -digit percentage of revenue

contribution. It is a great way to enter new markets, service underserved parts of India without putting our own capex. So while they are important to us, th ey are not going to be as sizable as company -owned company -operated stores, which are contributing significant amount of revenue to the company.
Moderator: The next question comes from the line of Rachna from SiMPL PMS.
Rachna: On a good set of numbers and on getting listed. I have two questions. Our annual realizations for mattress has been improving. What are the key drivers behind this improvement? And how do mattress realization compare across our own online channel and the e -com channels like Amazon? I understand that third -party cost eliminations contribute, but what other factors are supporting the trend in realizations?
C. Ramalingegowda: Sure. In terms of annual realization of mattress, yes, you're right, it is steadily going up. There are a few specific factors that contribute. Number one is the introduction of the premiumization portf

olio in our own company. We started this about 2 to 2. 5 years ago.
And we now have a bunch of ranges such as plus range, Infiniti range where they are at a higher premium to the classic and essential range that we always had. So that is factor number one. Factor number two is our ability to upsell to customers who walk i nto our stores, meaning when they do come in, they don't have a clear view of which SKU they want to buy, but they have shortlisted some.
But once they lie down on it, test it, ask questions from our staff and get clarity, they are able to upsell and purchase a product INR5,000, INR7,000, INR10,000 higher. This is also borne out in the fact that average order value in our company -owned comp any-operated stores is nearly 60%, 65% higher than the online average order value.
So this is a second factor. The third factor is the fact that Wakefit has brought up innovative SKUs, which are not just on the same variety but a premium price point, but also innovative materials of higher -quality latex, higher -quality grade, higher -quality spring, where the benefits that are provided are also very different.
These are the major factors because of which realization is higher steadily. But how does this split across our website versus marketplaces versus stores? Largely in terms of average order value or ticket size, irrespective of whether it is our website or marketplaces, it is approximately similar and lower compared to the offline channel, which is higher.
But by the time it comes back into the company in terms of contribution margin, et cetera, the e-commerce marketplaces would definitely be a few percentage points lower than our own D2C website.

Rachna: Okay. Understood. My second question is, what were the key drivers of gross margin improvement this quarter? And to what extent was this led by the mattress segment? Additionally, if you could please provide some color, ballpark figures into gross margin a cross our three product categories, specifically which categories generate high gross margins and EBITDA margins relative to the company level?
C. Ramalingegowda: Sure. Just to clarify, our gross margin in Q3 has been worse off compared to the H1 of FY '26. Like Parul mentioned, the main reason was that it is the standard festive quarter where all brands provide discounts to drive higher volumes. However, your quest ion was also right that compared to Q3 of FY '25, there is a 230 bps improvement in this quarter. So that has not been because of any short -term step that we have done now or this quarter.
This has been the result of the work done in the factories and the production facilities in terms of utilizing higher degree of machines and manpower and reducing the wastage. So it's not a onetime short reason. It's better than last year Q3, but worse th an the H1 because of the reason. What was the second -- can you repeat the second question, please?
Rachna: Yes...
C. Ramalingegowda: Yes, you're right. Segment -wise, we don't disclose the margins, unfortunately. But like I outlined earlier, mattress is higher than the company -level gross margins.
Moderator: The next question comes from the line of Percy Panthaki from IIFL Capital.
Percy Panthaki: A few questions from my side. So first one is on the GST -led shift of buying by customers. Why has this affected only mattress? Based on the data in your presentation, you have given, I think, 26% of furniture going to 29% as a salience, so which means rou ghly 20% -plus kind of growth has happened in furniture this quarter. So why is this GST -led shift not affected furniture?
C. Ramalingegowda: Good question, Percy. So in mattresses, we see a much, much higher level of spike during the festive season, which did not happen this year. To give you some sense, mattresses see on sale

events, 8 to 10x growth over BAU during

the festive time. And during the second and third wave
of the sale can see as much as 5x, 4x of BAU numbers, while that didn't happen this year. Festive
for furniture has always been a smaller spike.
And as a company also, we are able to service a smaller spike given that it involves more moving
parts of production, manufacturing, et cetera. So the idea is very simple that furniture grew as
much as usually it grows, 30%, 40% over normal numbers, but m attresses, just the pent -up
demand that was there just didn't happen this time around.
Percy Panthaki: So doesn't that mean it gets shifted to next Diwali or it comes back sooner in your view?

C. Ramalingegowda: Customers don't wait for a year. Usually, what we see is the Republic Day sale that happens in
January, the March sale that happens around Sleep Day, those end up contributing and growing.
And the next big spike that you'll also see is in June -- is in Jul y during certain e -commerce
events as well as our own proprietary sale event.
So customers don't wait for a year. January, March and July, they come back and it makes up
for it. That's what we saw even in the Republic Day sale, where Y -o-Y, we grew in our mid -20s
for the same 7 -day Republic sale -- Republic Day sale compared to last year Republic Day sale.
Percy Panthaki: Got it. Next question, just wanted some kind of thoughts, if not guidance, on medium -term
margins, let's say, over a 2 -, 3-year kind of a period. You have done 9.5%, 10% this quarter.
There is already significant operating leverage playing out. Your other expenses are in absolute
terms down Y -o-Y for the quarter, for 9 -month basis also, I think they are marginally down only.
So one is, where do you see -- these margins, 9.5%, 10%, where do you see them going over a
2-, 3-year period? And wha t would be the drivers for that movement?
C. Ramalingegowda: Sure. We, as a company, don't provide guidance, especially because the industry is very, very
dynamic. And we, as a single company, operate in three -- in categories, each of which is a
separate industry altogether. The mattress industry has separate dynam ics, separate competition
and separate pressures. The furniture industry has very different growth levers and very different
pressures on utilization of assets.
And similarly, furnishing is a much smaller ticket size item, which is purchased more on impulse
or as an add -on to the existing cart. Since each of them is separate, we are unable to provide a
very tight, controlled guidance. However, the revenue growth remaining at a healthy number
that we outlined earlier and margin improvements coming from operating leverage, those are in
our control.
But we foresee that given the increase in competitive intensity in mattress, we will go back to
increasing our advertising and promotion expenses to historical average of somewhere around
8% or so, given how the industry has shaped up. While in furniture, the investments will come
a lot more in stores, meaning if the stores are continuing to deliver the amazing unit economics
and payback periods that we currently have, we might accelerate the pace of opening those
stores.
So given those, the margin payback, some of the investments taking up some of our EBITDA
for the short term might happen. But as we get clarity on that strategy, we will come back. But
the only point I'm outlining and reiterating is revenue, operating lev erage will be continued
Percy Panthaki: Got it. Got it. And lastly, just wanted to understand your thoughts on the mattress segment
growth, the industry growth overall organized versus unorganized. And within organized also,

roughly what is your current share? And what kind of share you are gunning and therefore, what
kind of growth in the mattress segment can we exp

ect?
Because unlike furniture, where you are a very, very tiny part of the overall sort of market, in
mattress, it's relatively a little more organized. And within the organized guys, I think you are
the second largest now. So just wanted your thoughts on matt ress growth?

C. Ramalingegowda: Okay. I was just saying that on the mattress side, in the absence of any industry reports, which give us quarter -on-quarter updates on how growth has happened or share has changed, unlike in FMCG or mobile phones, we only have an estimate. Our estimate is that we must be in the early double digits in terms of market share in the overall organized mattress market. We don't take a market share target, but we do take growth rate targets internally when we do our annual operating plan.

So we just want to focus on that growth rate to be at least in the mid - to late teens, given the size of the mattress market and given how large we play. And this itself is going to be double or so of the traditional legacy companies from what we can get i n the private market data.

Moderator: The next question comes from the line of Harsh Dhanuka from Ncubate Capital Partners.

Harsh Dhanuka: Extending to the question of the last participant, how do you see this mattress market divided between online, offline? And do you see a shift happening between the two? And how do you see your prominence in terms of market shares if you want to divide it between online, offline also?

C. Ramalingegowda: We believe that a lot of the transition from offline unorganized buying will move to online organized buying because the consumer behavior itself has changed in these last 10 years. If 10 years ago, the mattress research process would start by going to thr ee stores near your house, today, the mattress research process starts by either searching on Google or searching on one of the two large marketplaces, e -commerce marketplaces.

Hence, the natural consolidation or growth rate will come online, especially for this segment that is converting from unorganized retail to organized will happen online, especially for the entry -level price points. So these would be mattress in the range o f INR6,000 to INR8,000 all the way to INR12,000, INR13,000. We believe this is going to grow rapidly online as it has shown in the last 4 to 5 years.

However, on the premium range, as long as the product is innovative, as long as the product has something new to offer, not just customers overpaying because of the MBO cost structure, dealer distributor cost structure, et cetera, we believe that the prem iumization will happen mainly in company -owned company -operated stores where the sales staff is very consultative, where the

sales staff is able to provide a very good view of the innovation rather than just expensive mattresses sold through MBOs.

Harsh Dhanuka: And how would be your market share between the two, online versus offline? As you said, it is more early teens in terms of overall market share, but does that differ when you look at from the online versus offline?

C. Ramalingegowda: Yes, that changes drastically when we look at it online versus offline. When we look at pure online companies, we would be much larger than what I said. It would be -- from whatever we know or we can estimate, it will be more than a quarter of the market b elonging to Wakefit, although we don't have an exact number given the absence of industry reports. But overall organized space, we would be in the early double digits.

Harsh Dhanuka: And with respect to growth, how do you see -- as you said, within mattress, you're looking at 18%. Does this number also vary between online and offline overall from the mattress perspective?

C. Ramalingegowda: The growth rate has been solid for both places. But like I said, the product mix changes. In the online space, the growth

rate is way higher. And in the offline space, its growth is very high for premium only. However, even now that becomes more and more b lurred because a lot of the online -only companies have started opening company -owned company -operated stores. So it is now -- unlike 10 years ago, it is very hard to call a company online company or offline company because they're openin g stores also and sales is moving offline, although the discovery happens online.

Moderator: The next question comes from the line of Deepak from Unifi Capital.

Deepak: Congrats on a good set of numbers. Sir, first question is on the revenue growth in mattress. It seems to be on the lower side. So if you can provide some insights as to despite giving the discounts this quarter, why is the growth rate lower? And what have we done in Q4 that we see these revenue growth trends improving? I'm talking about the mattress segment in particular?

C. Ramalingegowda: Sure. Good question. I think Parul answered it to some degree in her opening comments, but I will add more flavor to that. Last year, in calendar year 2024, the Diwali sale started on the last day of September, which means most of the sales spike was shown and revenue recognized in the OND quarter. And hence, it showed up in Q3.

However, this year, both the GST -based waiting that happened between September 5 and September 26 that happened there. And the sales spike started on September 21 or 22, which means a large part of the spike from the first wave of the sale got recognized in the second quarter, which is July, August, September quarter. And hence, the H1 got some of the credit for

that spike. And the second and third waves of sale got recognized in OND. So it was more of a timing difference.

To give you how it looks like when you take it 4 months, which is September to December, mattress growth rate has been closer to 11.5%, which is similar to what we have grown in the - - a little bit lower than what we had grown in H1, but it is not as bad as it looks in only OND.

However, like we mentioned, in Jan, Feb, March of this year, the demand and growth rates have come back to mid -teens, given back -- consumer demand coming back, the Republic Day sale event, store opening coming back to its original cadence, all of those slowly coming back to normal.

Deepak: Understood. Yes, that was helpful. Sir, second question, you mentioned that -- see, actually, you've controlled your opex cost really well, the other expenses line item that I'm talking about. But given that you're going to increase ads from here on, you'r e going to increase the number of stores from here on, this is bound to go up. So how are we going to -- when you talk about operating leverage, how are we going to benefit from operating leverage when the spends are going to go up? If you can ment ion any levers that you have?

C. Ramalingegowda: Sure. So we believe that the operating leverage is going to come from two sources, which are not related to advertising and promotion. One source is the manufacturing and supply chain operations and the second source is the central cost control, which come s below the contribution margin. On the manufacturing and supply chain, we take targets and optimization goals every single quarter.

And that is a very, very slow grind where we're able to free up half percentage point or so every quarter of hard work, while the central cost, which is keeping the office cost, Internet cost, utilities cost, the fixed cost that is there in the central tea m, that is a constant push and pull that happens where the teams request more resources while we always go deep into understanding whether we should take on that additional cost or not.

So those are the two sources that come. Advertising and promotion, in our case, is much, much more of a variable cost, meaning we are able to turn

on and turn off the tap of performance marketing and brand marketing because we are -- largely the spends ar e digital. So when we run experiments and they pan out, we double down. When we run experiments and they don't work out, we kill them very quickly.

So these spikes where it will not result in revenue will come and go, but the spikes where they will generate consistent revenue will happen steadily because that takes time to discover, especially given the digital marketing methods keep evolving so fast with generative AI, people searching on OpenAI, people searching on YouTube instead of Google, people looking inside Instagram, hashtags.

So it changes very, very fast, and we have to be on top through constant experimentation and constant spends. So there is no getting away from that, unfortunately.

Deepak: Sure. Understood. Sir, can you share what the ad spend were in this quarter as a percentage of sales?

C. Ramalingegowda: Similar to the first 6 months, which is about mid -5% or so.

Deepak: Okay. And lastly, on the furniture segment, we understand that we are working at a very low profitability there. So with the manufacturing and the logistics -led changes that you're making, are we in the path to be EBITDA positive in the furniture segment n ext year? Or will it be the year later, say, FY '28?

C. Ramalingegowda: It would be incorrect to look at the complete furniture category as a monolithic single category.

Within that also, there are subcategories related to the best -selling SKUs, best -selling subcategories like our bed frames and our wardrobes and our sofas are very, very big contributors to revenue. In some of these categories, we are already EBITDA positive.

In the long tail, where we are still building the SKUs, completing the catalog, there, some of the investments are continuing to happen. So that is the reason furniture as a whole is a wrong way to look. The Pareto where huge volumes are happening, they ar e already EBITDA positive in our estimation of central costs below contribution margin.

Moderator: Ladies and gentlemen, in the interest of time, we would take that as the last question for today. I would now like to hand the conference over to the management for their closing remarks.

C. Ramalingegowda: Thank you so much for all of you to invest the time and try to understand our business. We appreciate your time. We hope to continue to give you updates about the business every quarter and take you along on the journey of building Wakefit together. Thanks a lot for your time.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of IIFL Capital, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Date: May 28, 2026

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400001,
Maharashtra, India

BSE Scrip Code: 544642

Dear Sir/ Madam,

National Stock Exchange of India Limited,
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

NSE Scrip Symbol: WAKEFIT
Subject: Transcript of the earnings conference call held on May 22, 2026

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of transcript of the earnings conference call held on Friday, May 22, 2026, at 09:30 a.m. (IST) to discuss the Audited financial results of the Company for the quarter and financial year ended March 31, 2026.

The said transcript is also available on the Company's website at: www.wakefit.co/investor-relations

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Wakefit Innovations Limited
(formerly known as Wakefit Innovations Private Limited)

Surbhi Sharma
Company Secretary and Compliance Officer
Membership Number: A57349

Encl: As above

“Wakefit Innovations Limited
Q4 FY '26 Earnings Conference Call”
May 22, 2026
E&OE - This transcript has been edited for grammatical and other transcribing errors. In case of discrepancies, the audio recordings uploaded on the stock exchange on May 22, 2026 will prevail.

MANAGEMENT : MR. ANKIT GARG – CHAIRMAN , CHIEF EXECUTIVE

OFFICER AND EXECUTIVE DIRECTOR – WAKEFIT INNOVATIONS LIMITED
M R. CHAITANYA RAMALINGEGOWDA – EXECUTIVE DIRECTOR – WAKEFIT INNOVATIONS LIMITED
M S. PARUL GUPTA – CHIEF FINANCIAL OFFICER – WAKEFIT INNOVATIONS LIMITED

HOST: M R. HARISH ADVANI -- AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Wakefit Q4 FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Harish Advani from Axis Capital. Thank you, and over to you, Mr. Advani.
Harish Advani: Thank you, Renju. Good morning, everyone, and welcome to the Q4 FY '26 Earnings Call for Wakefit Innovations. Today from the management, we have with us Mr. Ankit Garg, Chairman, CEO and Executive Director; Mr. Chaitanya Ramalingegowda, Executive Director; and Ms. Parul Gupta, Chief Financial Officer. We'll begin the call with the opening remarks from the management, after which we will have the forum open for interactive Q&A session.
I'll now hand over the call to the management. Thank you, and over to you, Ankit.
Ankit Garg: Thank you so much for the introduction. Good morning, everybody. A warm welcome to all of you, and thanks for joining our Q4 FY '26 and full year FY '26 earnings call. On this call, we are joined by Chaitanya, who's Executive Director; Parul, who's CFO; and Strategic Growth Advisor, our Investor Relations Advisors. The results and the presentations are uploaded on the stock exchange and company websites. I hope everybody has had a chance to look at them.
Let me begin by thanking Wakefit's dedicated team whose relentless efforts, execution focus and commitment were instrumental in delivering strong performance throughout FY '26. They are truly the backbone of the organization. With 17% year-on-year growth, we delivered our highest ever annual revenue at INR14,889 million. While the company delivered a satisfactory annual performance, the second half of the FY '26 witnessed certain headwinds that impacted overall growth momentum.
Following softer discretionary spending trends in Q3 FY '26 across our categories, demand moderation continued further in the latter half of the Q4 FY '26 too amid evolving geopolitical and macroeconomic uncertainty. Our business has an inherent seasonality element and therefore, a Y-o-Y comparison a good indicator of our performance.
Our business is anchored across three core categories: mattresses, furniture and furnishings. On an annual basis, our core product categories performed as below. Sold pan India mattresses remained our largest category contributing 61.4% for FY '26 and a Y-o-Y growth of 17%. In Q4 FY '26, the mattress category continued to lead and grew by 20%, outpacing the industry growth

trends, we were able to garner this growth due to our strong omnichannel sales presence, complete product portfolio and retail conversion.
The furniture category contributed about 29.3% of revenues for FY '26. The growth of this category was approximately 24% in FY '26 and 14% in Q4 FY '26. Furniture currently operates primarily in cities where we have a physical retail presence. Furnishings category contributed 9.3% of our total revenues in FY '26.
For FY '27, we are targeting revenue growth driven by the strength of our mattress portfolio while improving the reach of our furniture and furnishing business. We are closely monitoring raw material prices to navigate the volatile environment with prudent price increases and focused cost optim

ization efforts. From a long-term perspective, the company continues to be committed to its vision of being a one-stop destination for home and furnishing solutions.
The customers' preferences keep evolving, thus, we are expanding into select adjacent categories that complement our core portfolio. Additional subcategories are being introduced within the same ecosystem as that of our core categories to broaden our offerings and improve customer lifetime value. For instance, within furnishings, we offer home decor items such as life plants. Under the extended scope, we can also offer essentials such as fertilizers, plant nutrients, soil conditioner to support plant care at home.
Further, a few of the proposed changes are intended to position the company for future opportunities and long-term business expansion. While we continue to prioritise our three core categories, these amendments are not anticipated to entail any meaningful financial impact in the medium term. This expansion of scope through amendment of the object clause in the MOA has been approved by the Board of Directors. The proposal is provided to the members of the company for approval.
Now with this, I would hand over to Chaitanya, Executive Director, to explain more. Thank you.
C. Ramalingegowda: Thank you, Ankit, for the introduction. Good morning, everyone. I will start by providing certain operational highlights. The retail revenue growth for FY '26 stood at 49% on a Y-o-Y basis. We have built a truly omnichannel ecosystem across our own and external sales channels through which customers can access and engage with the Wakefit brand. We are present online, offline in company-operated company-owned stores and MBO stores.
As of March end, we had 139 active company-owned company-operated stores across 76 cities. Our total current COCO retail area would be approximately 4 lakh square feet. In FY '26, our gross additions stood at 42, and we also ended up closing only about eight stores. These closures were largely attributable to logistical inefficiencies and operational constraints rather than any underlying weakness in demand.
COCO stores remain a strategic priority for us as they enable deeper customer engagement and provide meaningful opportunities for cross-selling as well as upselling across the multiple categories that we are present. We continue to iterate our store opening plan as given by us during the IPO. The COCO stores are likely to be opened in diverse Tier 2 locations while maintaining healthy unit economics.

So in addition to larger cities, we continue to see meaningful opportunities in smaller towns and underpenetrated regions across India. It is worth noting that our COCO stores are asset-light as they mainly carry display inventory. Hence, they continue to turn profitable relatively quickly compared to the asset-heavy traditional inventory model.
The MBOs remain an important part of our strategy as they enable us to enter new markets and evaluate demand with limited upfront capital investment in that geography. It is pertinent to highlight that the MBO channel follows a cash and carry arrangement and is not operated under a credit-led distributor-led model. As of March end, we had 1,948 MBOs across 536 towns and cities.
Our own channels, which comprise our website and COCO stores contributed 67.2% of our annual sales and more than 74% of the quarterly sales. This indicates a continued growth in the brand strength. We believe we are still in the early chapters of Wakefit story of India's home and sleep solutions as the market remains very large, underpenetrated, structurally growing and with relatively few organized players.
So this leaves a lot of headroom for long-term growth. Wakefit accounts for well below 1% of the combined mattress furniture and home accessories industry, and we are committed to keep capturing market share and conti

nue to strengthen the brand.
With that, I will now hand over to Ms. Parul Gupta, our CFO, for the detailed financial commentary. Parul, over to you.
Parul Gupta: Thank you, Chaitanya. Let me now take you all through our financial performance for quarter 4 for FY '26 and the full year financial year '26. With respect to the quarter 4 financial year '26 performance, our revenue from operation for the quarter stands at INR344 crores, which is a Y-o-Y growth of 13.5%. Gross margin for the quarter stood at INR192 crores with a margin of 56%.
Our business has a distinct cost structure. Raw materials, which are our core like the PU foams, spring coils and the fabric account for the meaningful proportion of our COGS, and these are subject to the global commodity cycles, especially the crude. The March quarter saw sharp inflation across several input categories with select raw materials such as the chemicals which get used like the polyol, TDI, etcetera, registering price increases ranging from 30% to 150%. These elevated costs across crude-linked materials, packaging, logistics and infrastructure also impacted the operating environment. These trends are reflective of the broader industry

conditions. Though our strong vendor relationship helped us manage part of these inflationary pressure and the way we have been operating as a company, we undertook proactive stocking of key raw materials and chemicals, which helped mitigate the immediate sharp impact of these price volatility arising from the macroeconomic factors and supply side disruption.
Also, to mitigate the impact, we implemented major pricing actions in March and April. We believe that Wakefit has the brand strength and customer positioning to execute such increases responsibly. The combined impact of higher input costs and phased price pass-throughs may constrain margin expansion in the near term.

The reported EBITDA, excluding other income for the quarter was INR36 crores with a margin of 10.6%. Operating EBITDA, which is at 6.3%, remains relatively soft on a sequential basis, largely due to the better operating leverage in the quarter 3, which was the festive period with higher sales and marketing investments.
In Q4 '26, the advertising and marketing spend increased to approximately 7.3% from the range of 5.3% in the last quarter. In FY '26, we spend around 5.7% in terms of the overall marketing. As mentioned in our last call as well, we reiterate that over the medium term, we anticipate a ramp-up in our brand building efforts from the A&P spend expected to be around 7% to 8% of the sales with continuous monitoring on the success metrics.
The ESOP expense for the quarter stood at INR13.6 million. For last quarter for FY '26, profit before tax and after exceptional items stood at INR24 crores. Pursuant to the Ind AS 12, the company recorded a deferred tax charge amounting to INR98 crores as part of the tax expense during quarter 4 of the 2026.
now coming to the full year performance. For the FY '26, revenue from operation was closed at INR1,489 crores, which is a growth of around 17% over the last year. Gross margin for the FY '26 was INR830 crores at a margin of 55.8%. This marks an improvement of 18.5% Y-o-Y growth.
ESOP expenses for the FY '26 was INR33 million. However, for the next year, we anticipate these expenses to be estimated at around INR12 crores. Reported EBITDA, excluding other income for the FY '26 was INR182 crores with a margin of 12.2%. Profit before tax and after exceptional items stood at INR91 crores.
As of March 31, 2026, the company has investable cash of around INR958 crores. On a near-term basis, we do not expect any material change or dilution in the margin structure in Q1 FY '27. Having said that, from a full year perspective, we continue to closely track market conditions and are committed to maintain a disciplined approach towards

cost.
With this, we can open the floor for the Q&A.
Moderator: Thank you. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on your touch-tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question comes from the line of Rakshit Desai with IIFL Capital. Please go ahead.
Percy Panthaki: Hi, sir. This is Percy Panthaki here. Just wanted to know for the Mattress division, at a total COGS basket level, what is the inflation that you're facing?
C. Ramalingegowda: Hello, Percy. Between February and May, the prices have seen a lot of volatility. They have gone up between 30% to 160% at some point. However, in terms of procurement that we have done opportunistically when it fell as well as some of the old stock that has been utilized, which

was at a lower cost, we are operating at a 25% to 30% increase in some raw materials and about 15% to 20% increase in some raw materials. And lastly, in some of the other raw materials, we are using about 5% to 6%. And to pass this on, we have done two measured calibrated price increases of about 7% to 8% in March and 7% to 8% in April.
Percy Panthaki: The April was how much?
C. Ramalingegowda: 7% to 8%.
Percy Panthaki: Okay. So total about 15% price increase has been taken.
C. Ramalingegowda: Correct.
Percy Panthaki: And while the prices have been very volatile and you said that there is some benefit of old inventory, etcetera. But if one were just to measure the total COGS basket of the mattress

division pre-war versus the spot prices today, that inflation would be how much?
C. Ramalingegowda: That inflation, based on our procurement price, it is somewhere around 10%.
Percy Panthaki: No. I mean what I'm trying to understand is, if, let's say, the crude prices remain at around $100 for a longer period of time and you run out of old inventory. And then, of course, you will have to procure at whatever spot prices continue into the future. In that scenario, what kind of COGS inflation would you have on the overall mattress division COGS?
C. Ramalingegowda: Approximately 30%.
Percy Panthaki: Understood. Understood. Secondly, just wanted to understand in terms of competitive intensity and on demand in mattress because you've taken a 15% kind of inflation in prices. I think that is sort of pretty unprecedented in a couple of months of time. So how do we gauge what kind of volume impact this price increase will have? That's one question.
And a separate question is on the general competitive intensity in the market, especially amongst the organized players and some of the new D2C players, etcetera. How is the situation now versus, let's say, six months ago?
C. Ramalingegowda: On the price increases, if we were the only company to have taken a price increase, probably the impact would have been much higher just for us. However, given that it was an industry-wide impact, pretty much all of the industry has also taken price increases commensurate to the increase in raw material prices. So net-net, for the consumer, it has gone up almost uniformly within a 1% or 2%, 3% difference between the two -- between all of the major brands.
But having said that, on the -- so because of this, obviously, we do consider that there could be some slowdown in purchases until the prices normalize. But there is also a benefit of higher ASP, which means lower volumes itself provide us that revenue growth. But we do focus on volume growth, but we -- it might be an issue for the short term.
Having said that, the competition intensity has definitely gone up over the last six to nine months, where certain companies in the INR100 crores to INR300 crores

annual revenue with a much

lower cost structure, although they do not have a recognized brand per se, they might be very well-respected labels on marketplaces or they might be strong in specific two or three regions. So there, we definitely have seen increased advertising spending as well as increased matching of prices similar to Wakefit. So both of these have been accelerated over the last six to nine months.
Percy Panthaki: Understood, understood. And lastly, just wanted to get your sense, again, assuming crude prices remain where they are, given the price increases that you have taken, given the higher ad spend that you will have to do, etcetera, do you think that you will be able to hold on a full year basis, the EBITDA margin of the company, assuming that crude remains at 100?
C. Ramalingegowda: So Percy, firstly, the raw material prices for base polyol, TDI and plyboard, MDF board, while they're linked to crude, they are not directly correlated to crude. That is why I mentioned that the prices of raw materials went up even up to 160% at one point, 80% at one point for a different raw material. But when we actually are procuring it using the strength of our supplier relationships, as well as other reasons, we are able to keep it at 30% or so.
So definitely, if it continues, we will see pressure. But if we have to focus on one thing, I think we, as a company, are very focused on prudent market share protection and market share growth. So we will have to see how the rest of the industry operates, but we are very, very protective of our market share on all channels because that acquisition of market share has a compounding effect.
So the first customer that we procure comes back for a second category, third category, fourth category over two, three years. So we are very protective of that. So if we are pushed, we would probably still chase a 20% plus growth, aspire to chase for that, while EBITDA might be impacted by 1 percentage point, 2 percentage points, something to that degree.
Percy Panthaki: Got it. Got it. Very clear. I'll come back in the queue, if I have more questions. Thank you so much.
C. Ramalingegowda: Sure. Thank you.
Moderator: Thank you. A reminder to all the participants that you may press star and one to ask a question. Next question comes from the line of Siddhartha Bera with Nomura. Please go ahead.
Siddhartha Bera: Yes. Thanks for the opportunity, sir. Sir, first question is on the expansion into more adjacent categories Ankit talked about. Some color there that how big categories do you see these are? And what will be our aspiration of market share or revenues we can aspire to, say, maybe in four, five years. I ask this question because, I mean, we also have furnishings as a category, but in that, we haven't seen meaningful traction yet outside the mattresses and furniture. So some color about when we are expanding the horizon and product profile, where do you see the right to win?

And second is on the COCO stores. I mean, FY -- so as of December, we had highlighted we had about 137 stores. So we ended the year at 139. So we added probably only two stores

incrementally in a quarter or so. So have we gone slow on the store expansion plans? And what will be the net expansion plan for FY '27, if you can just highlight?

C. Ramalingegowda: Sure. Thank you, Siddhartha. First one, to take a step back, we have always reiterated that Wakefit ultimate vision is to be an integrated home and sleep solutions company. So that would entail a lot of product categories that are adjacent to our core, core being mattress, hardcore wood and furniture and furnishing and decor. But within decor itself, it is made up of multiple subcategories.

And like Ankit gave an example of live plants, if you are supplying live plants, you also might want to sup

ply small agricultural products such as a pick for the soil, some sand, some fertilizer, etcetera. Similarly, on decor, if we are providing certain wall hangings, we will need to have capability to source those.

Kindly think of these as things that will complete the portfolio, not take us away from our core strength. Our core strength is vertically integrated full stack R&D to delivery of mattress, furniture and furnishing. But many of the smaller categories, which we need to complete, especially in the presence of the Jumbo store that is coming up next year, which is a large 100,000 square foot plus store, it will have to have aspirational looks.

It will have to complete the product portfolio. It will have to give the complete vision of how the room or a home or a kitchen can look like. In order for that, we have to procure trade in small volumes, white label in small volumes in order to be able to give that complete look. We cannot afford to have it look bare because the ultimate destination is people should -- when they think of home, they should think of Wakefit.

Just like there are very clearly when you think of beauty, when you think of baby, when you think of fashion, clearly, a brand comes up in your mind. When you think of home, we want Wakefit to pop up in people's minds. This is a step in that direction. However, this does not require upfront capital investment for manufacturing. This does not require massive marketing investments because this is primarily sold through the stores and hence, kindly look at it as a way to complete the portfolio, not something that takes us away from our core.

Now the second question that you talked about, you're absolutely right, Siddhartha. At the end of December, we paused, recalibrated, looked at all of our retail metrics, which included SSSG, which included locations, playbook -- and during our IPO also, we had mentioned that we would be doing regular format stores ranging from 600 square feet to about 5,000 square feet and one or two jumbo stores, which are more than 100,000 square feet. So that journey is on where we -- it is our usual practice that every nine to 12 months, we pause, look back, understand all of the mistakes and then identify the road map.

You -- I can assure you, you will see a much different number in the first quarter, April, May, June, when we announce it. But the target for this full year is to deliver more than 80 stores net addition. We are working on that, but we will be able to share specifics at the first quarter results. And like I mentioned in my prepared transcript, the focus is to provide a lot more geographical

reach, which was not there for mattress and furniture, go beyond metros and Tier 1s to Tier 2 and continue to be present wherever the customer wants us to be present.

Siddhartha Bera: Understood, sir. And last question, sir, on the channel exposure. I mean our own channel exposure has probably gone up to an all-time high of 75%. And you also talked about looking at MBOs now to expand the reach. So I mean, if we have probably some normalization in the own channel store as you look for other avenues of growth as well, will that also have some drag on EBITDA margins? Or how should we look at the channel strategy from here on going ahead?

C. Ramalingegowda: Thank you. The channel strategy should be looked at directionally rather than in specific 1% gain or 1% loss kind of a reason. The primary justification for that is that depending on a sale event, some sales -- some volume might move to marketplaces. Depending on a surge in store opening, one quarter, we might see much more sales in COCO stores. So those kind of minor changes happen. But directionally, the company is committed to steadily grow the company-owned channels, which is a combination of D2C website and COCO stores.

The reason for that is step number one, we are able to acq

uire them at a better unit economics
because we don't need to pay third-party commissions. Step number two, we are able to get the customer data using which we reactivate them using CRM so that whenever new launches happen, whenever new sale event comes, we are able to get them back for a second, third, fourth transaction.

And then this AI-enabled CRM takes over that journey to keep on saying that if you bought a mattress, you should buy this. If you bought a sofa, you should buy this. These are the new launches. This is the price drop that has happened, etcetera, etcetera. So long-term commitment is that own channel should become very, very powerful for Wakefit. But both the marketplaces as well as MBOs are strategic partners that we will continue to work with, but a lot more aggressively on our own channels.

And to answer your question about the drag, we don't foresee that drag because of the point that I mentioned earlier. Our stores are asset-light. They are not stuffed to the gills on inventory like in jewelry or apparel, where the more you stuff it into a store, the more sale happens. Ours is only display inventory. And hence, the drag will not be as pronounced because people come, browse, purchase and go home and the fulfillment happens centrally from our warehouse.

Siddhartha Bera: Understood. Thank you, sir. I will come back in the queue.

C. Ramalingegowda: Thank you.

Moderator: Thank you. Next question comes from the line of Pranay Roop Chatterjee with Burman Capital Management. Please go ahead.

Pranay Roop Chatterjee: Hi. Good morning. Am I audible?

C. Ramalingegowda: Yes.

Pranay Roop Chatterjee: Hi. So first question is with regards to the mattress business. So the channel check that I received, and I just want to confirm if it's like a sample bias or actually relevant for the industry. The feedback I received is that in the physical retail channel for mattresses due to supply chain disruptions, the smaller and unorganized players are unable to procure foam and other raw materials.

Now my understanding is this might lead to an accelerated volume growth for the larger organized players, both on the B2B foam and on the B2C mattress side in the next few quarters. Obviously, this would be counter to any volume hit because of price hikes. So if you can just confirm this or refute this, can you quantify the incremental or a net volume growth benefit, if at all? And what is the sustainability of the same?

C. Ramalingegowda: Sure. Thank you for the question. So we can take our neck out and say two, three things. Firstly, there is enough and more surplus foam manufacturing capacity in India. However, those are contract manufacturers who either manufacture for some of the smaller regional brands or they sell it in the unbranded foam market.

But the bigger problem with such unbranded foam manufacturers is that the use of adulterants is very, very prevalent where the Chunna limestone is added, which will end up reducing the efficacy and quality of the foam. So you're absolutely right in saying two things. One, that larger brands like ours, which have an integrated manufacturing capacity due to supplier relationships and scale economies are going to be able to obtain polyol and TDI at preferential rates and when there is a scarcity, preferential allotment.

So because of that, larger brands do have a benefit in getting it procured. And once we procure it, we don't have to depend on third-party contract manufacturers. We are manufacturing in our in-house facilities with no adulterants and hence, are able to provide a 10, 15, 20-year warranty also for some of our products. So your hypothesis is correct that in this kind of a scenario, larger, well-established brands with manufacturing setups are going to gain, but it is much, much harder to quantify that.

Pranay Roop Chatterjee: Got it, sir. I understand it's diffi

cult to quantify. But just directionally, obviously, there would
be a volume shock for some time because of the price hikes. It's unprecedented. And like you said, everyone has taken it. So any volume hit will hit all players equally. Do you think any such benefit, and I'm sure you're already seeing that in the months of April and May.

Do you think any such benefit due to being -- obviously, which is beneficial in the medium to longer term, but my question is pertaining to specifically the initial quarters of FY '27. So any such benefit of being a large player and having the supply relationships, is it enough to counter or overcompensate for a volume hit from price hike that has happened? And hence, your overall revenue growth, price hike and volume growth combined can actually be faster than what you saw in, let's say, Q4 or Q3 of last year?

C. Ramalingegowda: That is right. We are seeing such positive tailwinds. We are seeing a higher growth rate also. I mean if you just look at the April number, higher growth rate compared to the fourth quarter.

But it's too early to say because even last year, April, May, June was a very, very healthy quarter for Wakefit. So I would reserve my comments for the first quarter results. But in short, April definitely has been way better than JFM.

Pranay Roop Chatterjee: Got it. And my last question is on the -- this has already been asked. It's more around the volume elasticity and the price hike that you have taken. Like you have taken 15% price hike versus pre-war and your overall COGS basket is roughly up 30%. Now broadly, it seems that there would be some pressure on gross margins, at least in Q1. Is that the right way to think about it, like Q1 could be some pressure and then Q2, if prices normalize, you could see slightly better margins? Or do you have enough stock still left at older prices so that this inflation and coupled with the price hike won't really depress your GM even in Q1?

C. Ramalingegowda: Definitely, there will be a small impact in GM. When Parul explained that we don't foresee too much of a difference, it is compared to the March numbers. Compared to March exit gross margin, we foresee that it will hopefully stay steady at that level for AMJ. But yes, if the war does ease, second quarter can become even better.

But as I was telling you, because we are present in multiple channels, our D2C website is very, very profitable. Our COCO stores have an average selling price that is 80% higher than online. So our efforts are going to be to balance the product mix to sell more premium products, to sell in better economics channels to try to keep the gross margin impact to a minimum, but there could be a minor, minor impact.

Pranay Roop Chatterjee: Got it. I understand I've gone through two, three questions. Is there scope for one more question, or I'll get back in the queue?

C. Ramalingegowda: I'm okay, we can take it.

Pranay Roop Chatterjee: Got it. This is more like an industry analysis I was doing on this segment. So what I did was I took the last 10 years revenue, EBITDA of Sleepwell, Kurlon, Duroflex, Wakefit, Sleep Company, Springwell, Peps, like the most of the organized guys whose data I found. My observations are as follows. Overall, on a growth basis, revenue on a rolling three-year CAGR basis has largely been in the 8% to 12% CAGR range, number one.

Number two, the overall gross profit pool and the EBITDA pool in margin terms has actually deteriorated like summed across players, has deteriorated sharply over the last 10 years, which is in line with the heightened competitive intensity and prevalence of newer channels, which may not be as profitable.

Number three, and final finding, the market share split, let's say, five, seven years back versus today has seen material shift. And new guys like Sleepwell company who didn't exist pre-COVID, already half your s

ize and even versus the industry leader, they are a significant portion of the 20%, 30% of the revenue already. And this might just change like if they run out of funding, someone else gets funding, they are happy to burn cash.

My question is how -- as a top manager of one of the key brands trying to grow in this segment, how do you plan growth from a more longer-term perspective within this mattress and furnishings category? Because, look, growth is not a J-curve growth. It's 10%, 12% growth. You

see margins getting depressed and hence, you yourself are trying to shift people to your own channels, etcetera.

But there are new players who are trying the exact same thing. They are taking the same route that you have taken. They start as D2C, then they go aggressive on offline. the EBITDA pool keeps coming under pressure. So what needs to happen for -- and do you see any such thing happening, which will improve the economics of the industry as a whole?

C. Ramalingegowda: Sure. I will not be able to comment on industry or specific companies, but two, three clarifications. As a 10-year-old company, we have been fortunate enough to get to INR1,490 crores in revenue. So our CAGR definitely has been much, much higher. And the last three years CAGR is also about 20% for us. And if you notice some of the decline in the industry's growth rate has also coincided with Wakefit and other D2C companies rise.

But having said that, like you rightly said, the barrier to entry to this industry might be low because of the aforementioned abundant supply of manufacturers who can make you mattress. However, the barriers to scale come in when the company hits about INR30 crores, INR40 crores, INR50 crores of annual revenue because that is when -- whether you have your own supply chain, whether you have your own R&D, whether you have your own manufacturing, whether you have the capability to process the returned mattresses in the 100-day trial, whether you're able to have the balance sheet strength to handle warranty returns, all of these come into play when you want to scale.

So to re-summarize, barrier to entry is pretty low, barrier to scale is pretty high when you take a stand-alone mattress category. However, when you add second and third and fourth categories like Wakefit has, first, it was bed linen and bedding. Second, it was furniture. Third, it was furnishing and decor. The company ends up kickstarting a flywheel where your LTV is not based on one infrequent purchase category like a mattress, but multiple frequent purchase categories that go into the home.

This is exactly the problem we foresaw in 2020. And hence, steadily every two to three years, we expand into a new category, learn, make mistakes and then add that to the flywheel. So I don't -- I cannot comment on what should happen for industry's profit pool to improve. I can only comment on Wakefit profit pool hopefully getting more stable and more defensible because we are able to have multi-category, multichannel presence that the customer would want.

That's the reason one obsessively tracked metric for Wakefit is repeat revenue percentage every month and cross-category sale percentage every month. So we don't obsess about other things. We obsess about these two things. So that means we don't treat a customer as one and done. We want them to keep purchasing the Wakefit.

Pranay Roop Chatterjee: Thank you for the insight, sir and I wish you all the best.

C. Ramalingegowda: Thank you so much.

Moderator: Thank you. Next question comes from the line of Pritesh Chheda with Lucky. Please go ahead.

Pritesh Chheda: Yes. Actually, my question is answered. I was wanted to ask you about in a typically inflationary scenario, what…

Moderator: Mr. Chheda, your voice is not audible.

Pritesh Chheda: Wait a second.

Moderator

: And your voice was breaking also. Please come to the range and talk. Thank you.

Pritesh Chheda: Is it clear?

Moderator: Yes, please go ahead.

Pritesh Chheda: I said my question was in usually such a high inflationary scenario where material prices are so significantly higher, what is the usual behavior of the industry by these smaller players or local organized -- local large-sized players or unorganized players? Usually, what has been the experience in the past?

C. Ramalingegowda: Sure. Local unorganized players who get their foam manufactured by contract manufacturers end up in this inflationary environment end up cutting more corners to try and add more adulterants or to provide lower density of foam because it is very hard to make use of or identify how much adulterants is there in year one of usage because year one, usually it behaves decently. And the poor quality products end up deteriorating later on beyond the year one.

So we have seen that some short-term shortcuts are taken by some of these regional brands, which -- just to protect their margin, which ultimately comes back to harm them. So for us, we would never compromise on quality or purity of the manufactured products because we are a brand and we provide a 100-day trial and we provide a 10-, 15-, 20-year warranty. So given these reasons, all well-organized branded goods -- branded companies in this space hope to benefit during this period.

Pritesh Chheda: But doesn't it widen the pricing gap between organized and the unorganized players?

C. Ramalingegowda: That is correct. And -- but even during the non-inflationary period, an unorganized player has certain structural advantages of handling in cash, avoiding GST, handling no PF or ESI for their employees. So that gap always remains even in a non-inflationary environment. However, now the consumer behavior has evolved over the last 10 years, 11 years since Wakefit has come into existence.

Back then, people who used to start searching in the local MBO mattress market, every city would have a street where 10 mattress stores are present side by side, and they sell all brands together in the same stores. However, today, if you notice your own behavior, your people around you, the search starts on Google, YouTube, Amazon.

And then once you see that the unbranded products have no warranty, no 100-day trial and you're still paying them about INR2,000, INR3,000 less than an organized brand as opposed to a brand where all of these facilities are provided, the consumer behavior is slightly more evolved where they say 10 years life, this is not such a big deal.

So that is the overall benefit, which is structural movement from unorganized to organized. We cannot take any credit for that.

Pritesh Chheda: But in the near term, does the relative pricing gap expand? So what was the pricing gap between us and, let's say, the organized and the unorganized, that gap expands further because you guys have to go through price increases. Those guys have and backdoor channel or adulterating . So does the gap increases further?

C. Ramalingegowda: Yes, in theory, it can increase and the…

Pritesh Chheda: If that's the case, then how does it fall back to a better volume growth scenario or a better scenario?

C. Ramalingegowda: So if you remember the previous question also, we were saying that volume growth might be impacted in the short term, while ASP increases should tide us over, especially in the premium products range and premium channels such as retail. We were not saying that despite all of these volume will grow at a very, very fast pace. We said we will put in efforts to grow value -- volume, but value growth will help us in the near term to mitigate those impacts.

Pritesh Chheda: Okay. Okay. So in our case, what was the volume CAGR for the last four, five years? And what is the volume that you would see -- volume growt

h that you would see in FY '27? Or what kind of changes that you would see between what was the CAGR and what should be in '27, considering the higher price scenario?

C. Ramalingegowda: We don't have a policy. It's not -- volume growth is not a KPI, and hence, we don't have it handy. We primarily track ASP, ASP increase, cross-category sales and repeat rates. So unfortunately, we don't have that handy.

Pritesh Chheda: Okay. Okay, sir. Thank you.

C. Ramalingegowda: Thank you.

Moderator: Thank you. The next question comes from the line of Ritesh Shah with Investec. Please go ahead.

Ritesh Shah: Yes. Hi. Thanks for the opportunity. I have a quick 10 questions. First is, Parul, I think rental outgo, we have indicated INR20 crores in Q4, INR80 crores in FY '26. How should we look at this number for '27 and '28?

Parul Gupta: So, as Chaitanyaalso mentioned, Ritesh, that we are targeting to open store at least 80 plus. So you should be estimating the almost -- we did almost 40 stores in this year, so approximately doubling of that.

Ritesh Shah: I didn't hear you. You said we added 40 stores this year?

Parul Gupta: Yes. The new stores, which have been added is close to 40 in this year, in FY '26. And next year, we are targeting 40, 80 stores, which is double of the current count. So the number would be similarly in line with that.

C. Ramalingegowda: Slightly lower than double because the average square foot of the stores is reduced. But yes.

Ritesh Shah: Okay. Just a related question over here. Given the store count has increased, how should we look into ROU, which has actually declined on a year-on-year basis?

Parul Gupta: So ROU, basically, what has happened also, there are some of the components under the change because it's a lease accounting and ROU is something which will keep on depreciating. Since the addition in the current year has been lower than what has been -- we were carrying for, that's why you are seeing a reduction.

Plus there are -- if there are change in the terms of the lease, then also you will see that impact, and that's why we clearly call it out the rent component separately for you all to just have a better view around it. But it's not going to be -- again, it's going to be the similar the way the accounting will happen and the new incremental addition will add on to the ROU and it will keep on depreciating the whatever we are carrying on the balance sheet.

Ritesh Shah: Probably I'll call you for this. If you could help us with some breakup, it would be great. My third question is on capex. How should we look at it for '27 and '28 given we have a Jumbo store coming up? I think for this year, it was INR29 crores for '27, '28, any broad ballpark numbers?

Parul Gupta: I believe you're asking for FY '26, '27 now, not ' 27 '28?

C. Ramalingegowda: '27 -- '26, '27?

Parul Gupta: '26, '27, you're asking, right?

Ritesh Shah: Yes, Yes, Yes.

Parul Gupta: Yes. So we are still in the process of concluding on that number. But with the Jumbo store coming in and the new stores we are talking about, we should be somewhere around INR120 crores to INR140 crores of the capex we will be spending in this year.

C. Ramalingegowda: And just to clarify, most of this capex is going to be in retail, not for any manufacturing capacity increase. And this will include nearly 60%, 70% of the jumbos initial capex to have been done in this year. Not all of it will come in this year, but that will be one big component. Second big

component is the planned opening of about 80 stores.
Ritesh Shah: That's useful. There is other non-operating expenses of INR40 crores in Q4 and INR63 crores in FY '26. What is this pertaining to? How should one read into it?
Parul Gupta: So Ritesh, this is all kind of a non-operating expense or income like the in the mutual funds, the MTM gains on the mutual fund, which is an unrealized gain, unrealiz

ed gain or loss on the
foreign exchange. So that is very much visible in the financial as a separate line item. So these are the only incomes and the gains which have been netted off from the operating profit. These are the non-operating, which is an unrealized gain.

Ritesh Shah: Perfect. If you could explain the cash flow bridge from March '26 until now, I think our presentation indicates around INR958 crores of investable cash. How should we read into this number and some clarification around the bridge would be great.
Parul Gupta: Okay. So INR958 crores comprises of the cash what we carry in a different mediums and the amounts in our books. So we had our internal accrual cash which we carried before we came into the IPO. And after the IPO proceeds came in, we are still -- we have only utilized INR4.5 crores out of the IPO proceeds what we raised in December. So that is what contributing to the increase in the cash component. And we -- before the IPO, we were carrying INR450 crores and internal accruals since we are profitable, internal accruals are increasing. So that's what we are currently standing at.
Ritesh Shah: How much would be internal accrual contribution over here? So I think pre-IPO, you indicated INR450 crores. Then there was IPO proceeds, I would presume it's a INR300 crores, INR350 crores something, right?
C. Ramalingegowda: INR377 crores, I think.
Parul Gupta: Yes. So INR377…
Ritesh Shah: INR377…
Parul Gupta: Yes, pre-IPO INR417 crores net of the -- to be around INR400 crores, you can take up IPO proceed net of the expenses. Rest everything is internal accrual.
Ritesh Shah: Okay. And other financial assets has increased from INR89 crores to INR356 crores. How should we look into this?
Parul Gupta: This again is a component of the same number what we have just spoken about, which is whatever we have invested in the fixed deposits, that will be falling part of the financial assets, if the maturity is more than three months and less than 12 months.
Ritesh Shah: Wonderful. Chaitanya, you did indicate in the prior question that…
Moderator: Sorry for interrupting.
Ritesh Shah: Last question. Last, last question.
Moderator: Please go ahead.
Ritesh Shah: Last question, sorry. Yes, Yes. Chaitanya, you indicated like we follow three variables. You indicated cross-category sales and other two variables. If you could please detail it and if you have some quantification or how you review it, your thought process would be great. Thank you so much.
C. Ramalingegowda: The way we review it is three things. One is of every INR100 that we make in a month, how much of that comes from repeat customers? And this number is underreported primarily because in two or three channels, we don't get customer data. So using a smaller set of channels where

we get the customer data, we are able to determine a certain number, and that is what we improve.
Second number is every time a purchase happens in category B, we look at whether they have made any purchase in category A. So that number is way more healthy for mattress, which means people who have purchased mattress in the first purchase, come back and purchase other furniture products with a way higher level of frequency compared to people who have bought furniture in the first transaction and then they come back for other products.
This is natural because mattress is a 11-year-old category for us. Furniture is 4.5 years old and Bed linen is about six years old. So it reflects the age and maturity of that category. Both of these is what we track on the limited data where we get the customer information.
And also one ROU, while we'll be happy to quantify separately on a call, the way we handle any new stores is because we are very, very frugal. We always start with an 11-month or 12-month lease as we spe

nd three, four, five months in that location and see that it is working, then we go
in for an extended two-year, three-year locking or we -- if it's not doing well, we wrap it up in
11 months and find a location in the same micro market, 400 meters away, 500 meters away, but
in a better footfall area. So I think a lot of those are playing into that accounting. We'll be happy
to clarify separately.
Ritesh Shah: Thank you so much. Thank you. Thanks, Chaitanya. Thanks, Parul.
Parul Gupta: Thank you.
Moderator: Thank you. Next question comes from the line of Pallavi Deshpande with Sameeksha. Please go
ahead.
Pallavi Deshpande: Yes, I just wanted to understand if there is on the mattress side, is there a revenue guidance that
you can give out for this year?
C. Ramalingegowda: We don't have a habit of providing guidance, especially in a normal behavior time itself, we
worry about how to provide something that is sustainable and achievable. In an inflationary
environment and geopolitical headwinds, we don't -- it will be very hard to provide it. But like I
said, at a company level, given all these variables of multi-channel and multi-category, we aspire
to grow at least about 20%. We will do our best to achieve that.
Pallavi Deshpande: So would it be like you hinted earlier about the increased competitive intensity. So this previous
three-year CAGR of 19%, would that be slowing down because of this competitive intensity as
we look to protect margins?
C. Ramalingegowda: No. Like I said, we are a very market share-driven company. While we don't say that grow at
any cost, I don't care about the margin. That's not who we are. But we prudently manage product
mix and channel mix to try and keep protecting the margin, but we always protect market share
a lot more because the dream is very big, the journey is very long.

And more importantly, one lost customer in the first transaction means a lot of lost downstream
revenue because that whole thing will go away. So losing one mattress customer is not losing
one mattress customer. It is losing the same customer who would come back for a sofa, coffee
table, book rack. So hence, we ensure that we fight it out in the marketplace. But Yes.
Pallavi Deshpande: My last one would be on this 100-day return. What percentage of sales have we seen the returns
coming in? And does the customer have to pay for the cost of the transportation on the return
side?
C. Ramalingegowda: No, we were the pioneers of launching this 100-day return policy in India, which was a game
changer for the whole mattress industry about nine, 10 years back. The way we defined it is that
till that point in time, even if there was a warranty claim, the customer was made to run pillar to
post to have a physical bill to prove that they bought the product from this particular store, then
deal with a complex mathematical calculation on how much refund they will get, even for a
warranty claim where there is a defect.
So the way we changed the industry was to say that it is a no questions ask 100-day trial policy,
which means you take it, try it in the privacy of your home, both left side, right side, sleepers
are both having a different type of body and both will react differently to the product. The 99th
day also, if you don't like it, you should be able to return and claim the full refund with no
conditions other than that the mattress cannot be damaged. You cannot have liquid spills, you
cannot have a cigarette burn, etcetera, etcetera. But other than that, we would have no questions
asked. So that's how it changed.
To answer your question on the returns percentage, I can tell you that it has always remained in
the same stable percentage range, most of the 10, 11 years that we had this policy, and that
number is stable at -- it's below double digits. I don't think it's a KPI, so we don't disclose it every
quarter, but it is b

elow double digits. And we have a very capable and established supply chain
to bring it back, reprocess and then figure out what to do. Customer does not have to bear any
costs.
Pallavi Deshpande: Thank you, sir. I'll get back in the queue.
Moderator: Thank you. Next question comes from the line of Nishita with Sapphire Capital. Please go ahead.
Nishita: Yes, hello. So most of my questions have been answered. I just wanted to understand from the
80 stores that we are planning to open in FY '27, how much of that is going to be the Jumbo
stores you mentioned? And how many will be the small stores, if you can give that bifurcation?
C. Ramalingegowda: Sure. All of the stores that you mentioned as 80 are the regular format between 600, 800 square
feet all the way to 5,500 square feet. All of the 80 are that only. Jumbo the first store will come
up only in early FY '28, which is April, May of next year as per our today's projection where the
construction is going on. We only hope to open smaller number of stores, be very frugal with
that, test out the hypothesis of Jumbo store providing this full home destination in one place and
then only scale it. That is not included in the 80. Only one is coming up early next year and
second one later next year.

Nishita: Okay, okay. So two jumbo stores in FY '28?
C. Ramalingegowda: Yes.
Nishita: And the additional like products that you mentioned, like live plants and everything, that is -- that offering is only going to be in the Jumbo stores, right, not our regular stores?
C. Ramalingegowda: Even some of the regular stores, which have 5,000, 8,000 square feet flagship stores in those cities have space for them. So we will -- wherever there is place to display those merchandise, we will do that. And even website, B2C website also, it will be present. But Jumbo store, like you rightly said, will be the lion's share of that. So it's a way to complete the portfolio in a very cost-efficient manner where we don't need to get into R&D and set up a factory, etcetera. We can source white label, we do R&D, but we source it from somewhere else.
Nishita: Okay. And if we have these projections, how far the Jumbo store can break even?
C. Ramalingegowda: So as per our initial thesis, it is in about 18 months. that, again, we are doing it in a very frugal, very low-cost manner. So in about 18 months or so, we should aspire to breakeven. And think of it as a standard asset-heavy retail company, which would break even in 18, 24, 36 months. So we are trying to beat that benchmark by doing it in 18 to 24 months.
Nishita: Right. Okay. Yah. That is it from my end. Thank you.
C. Ramalingegowda: Thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I now like to hand the conference over to the management for closing comments.
C. Ramalingegowda: Thank you all for attending this conference call. We are happy to share the growth numbers. We are happy to share our strategy. Although despite geographical headwinds and macroeconomic headwinds, the company has managed to deliver. We will be very calibrated on our cost while being very aggressive in protecting our turf on the market share side. We will hope to continue to see all of you next quarter also and engage with all of you as and when needed. Thanks for investing the time in learning about Wakefit. If you have any further queries, please contact SGA, who is our Investor Relations advisor. Thank you.
Moderator: Thank you.
Parul Gupta: Thank you.
Moderator: On behalf of Wakefit, that concludes this conference. Thank you for joining us. You may now disconnect your line.